Will the National Bank of Ukraine raise its key rate on 17 December 2026?

Ukraine's monetary policy · confidence: medium · resolves YES if the NBU Board sets the key policy rate above the current 16.5% on 17 December

TODAY · 14 NOV 2026 — NOVEMBER INFLATION · ≈ 10 DEC — CHECK · 17 DEC 2026

19.21%

CONCLUSION

A fourth consecutive rate rise in December is unlikely — 19.21%. The NBU has raised the rate three times: to 15.5% in July, 16% in September and 16.5% in October. The bank's own forecast keeps this level until the second quarter of 2027. October inflation — 11.0% year on year, core 9.7% — accelerated but, by the NBU's own assessment, was close to its forecast. The December decision is taken without a new macroeconomic forecast, so a hike needs a new argument: November inflation well above the forecast path, or pressure on the foreign exchange market. If both occur together, the chance rises to 60.00%.

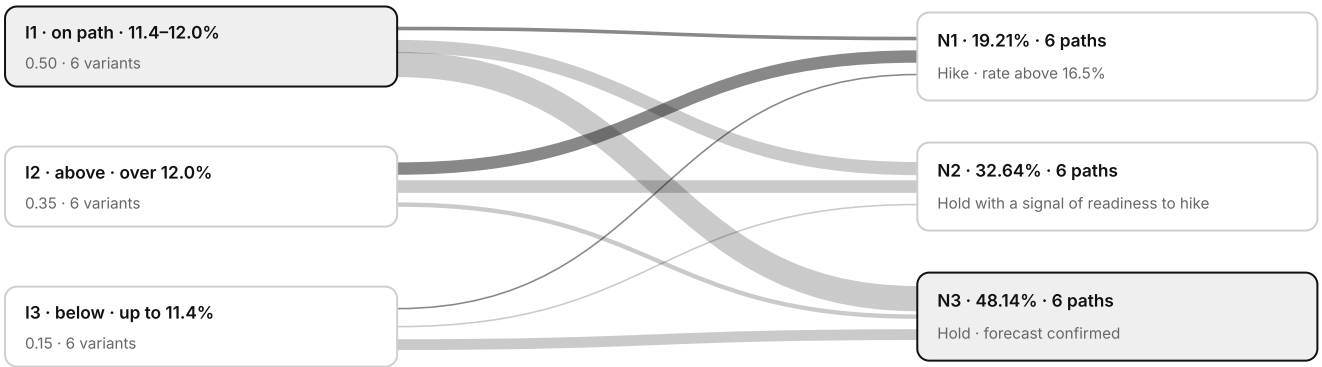
SCENARIOS · LEVEL 1 · CHANCE OF A HIKE IN EACH

	P	HIKE
I1 · inflation on the forecast path	0.50	8.50%
I2 · inflation above the forecast	0.35	42.00%
I3 · inflation below the forecast	0.15	1.75%

REVISION SIGNALS

- ▲ November inflation above 12.0%
- ▲ the NBU sharply increases FX sales
- ▲ NBU surveys: expectations worsen
- ▼ November inflation at 11.4% or lower
- ▼ external financing for 2027 agreed
- ▼ the Board confirms a hold until Q2

Scenario flows



Analytical position

The analysis proceeds from **N3 — "hold, forecast confirmed" (48.14%)**: the NBU keeps 16.5% and repeats that it will hold the rate until the second quarter of 2027. This matches its October forecast and the fact that the three previous hikes have not yet taken full effect. **N2** (32.64%) — a hold with a direct signal of readiness to hike in January — becomes the baseline if November inflation exceeds the forecast while the FX market stays calm. **N1 — a hike** (19.21%) requires both higher inflation and pressure on the hryvnia: the exchange rate channel is the strongest one in Ukraine.

COEFFICIENTS

Lvl	Variable	Coefficients	Why · research
1	November inflation (Ukrstat, ≈ 10 Dec) against the NBU forecast	0.50 · 0.35 · 0.15	October: 11.0% year on year, core 9.7%; the NBU calls the figures close to its forecast. The forecast for December is 12.5%, with an interim point for November of ≈ 11.7% (Reaction's calculation). Risks are tilted upwards — fuel, logistics, the effects of attacks — so I2 outweighs I3.
2	FX market and inflation expectations: calm · pressure	I1: 0.75 · 0.25 I2: 0.60 · 0.40 I3: 0.85 · 0.15	The NBU explained its October decision by worsening expectations and the need to keep hryvnia assets attractive. The exchange rate channel is the most powerful channel of monetary transmission in Ukraine (Zholud et al. 2019), and expectations are weakly anchored (Coibion, Gorodnichenko 2015).
3	Decision on 17 December: hike · hold with signal · hold	I1·F1: 0.04 · 0.26 · 0.70 I2·F1: 0.30 · 0.50 · 0.20 I2·F2: 0.60 · 0.32 · 0.08	In October 8 of the 11 Monetary Policy Committee members favoured a hike and 3 a hold. The rate rule in the NBU's model smooths steps and responds to the inflation forecast, not to a single monthly reading (Grui, Vdovychenko 2019). There will be no new forecast in December.

RESEARCH

The exchange rate channel remains the most powerful channel of monetary transmission in Ukraine; the interest rate channel is constrained by weak lending (Zholud, Lepushynskyi, Nikolaychuk 2019)	level 2 · pressure on the hryvnia is the main trigger
The NBU's projection model contains a Taylor-type policy rule (Grui, Vdovychenko 2019)	level 3 · after three steps a hold is more likely
Inflation expectations in Ukraine are weakly anchored (Coibion, Gorodnichenko 2015)	level 2 · why the NBU reacts to surveys

SOURCES

National Bank of Ukraine. Board decision on the key policy rate No. 369-rsh, 29.10.2026	**A1**
National Bank of Ukraine. Inflation Report, October 2026	**A1**
State Statistics Service of Ukraine. Express release "Price indices in October 2026", 10.11.2026	**A1**
National Bank of Ukraine. Summary of the Monetary Policy Committee discussion on the 29.10.2026 decision (secondary account)	**B2**
Zholud, Lepushynskyi, Nikolaychuk. The Effectiveness of the Monetary Transmission Mechanism in Ukraine since the Transition to Inflation Targeting. Visnyk of the NBU 247, 19–37, 2019	**A2**
Grui, Vdovychenko. Quarterly Projection Model for Ukraine. NBU Working Papers 3/2019 · Coibion, Gorodnichenko. Inflation Expectations in Ukraine: A Long Path to Anchoring? Visnyk of the NBU 233, 6–23, 2015	**A2**

ALL VARIANTS

I1 → calm market → hike	1.50%	**N1**
I1 → calm market → hold with signal	9.75%	**N2**
I1 → calm market → hold	26.25%	**N3**
I1 → pressure on the hryvnia → hike	2.75%	**N1**
I1 → pressure on the hryvnia → hold with signal	6.00%	**N2**
I1 → pressure on the hryvnia → hold	3.75%	**N3**
I2 → calm market → hike	6.30%	**N1**
I2 → calm market → hold with signal	10.50%	**N2**
I2 → calm market → hold	4.20%	**N3**
I2 → pressure on the hryvnia → hike	8.40%	**N1**
I2 → pressure on the hryvnia → hold with signal	4.48%	**N2**
I2 → pressure on the hryvnia → hold	1.12%	**N3**
I3 → calm market → hike	0.13%	**N1**
I3 → calm market → hold with signal	1.15%	**N2**
I3 → calm market → hold	11.47%	**N3**
I3 → pressure on the hryvnia → hike	0.13%	**N1**
I3 → pressure on the hryvnia → hold with signal	0.77%	**N2**
I3 → pressure on the hryvnia → hold	1.35%	**N3**

WHAT CHANGES THE ESTIMATE

Inflation on the path (I1)	**8.50%**
Inflation above the forecast (I2)	**42.00%**
Inflation below the forecast (I3)	**1.75%**
Higher inflation and pressure on the hryvnia	**60.00%**

Limitations: the bands for November inflation are Reaction's calculation; the NBU publishes no monthly forecast. The October vote split is known from a secondary account. The war can change conditions faster than the tree reflects: strikes on energy and ports, decisions on external financing.

Next review: after Ukrstat's November inflation data (≈ 10 December).